ENGIE (ENGI.PA) - Relative Valuation Report

Valuation date: 2026-10-30 | Mode: relative_only deviation (no DCF, no stage 2/4) | Status: PROVISIONAL

1. Valuation summary

Item	Value
Currency	EUR (reporting FY2025: EUR millions)
Current price (close 2026-10-30)	23.43
Primary multiple (comparables)	EV/EBITDA (bucket-A integrated utility); peer median 12.23x, n = 10
Comparables, p25 - median - p75 per share	27.43 - 45.51 - 65.55
Median vs price	45.51 vs 23.43 = +94.2% (vendor EBITDA basis)
Issuer-EBITDA sensitivity (median)	54.00 vs 23.43 = +130.5% (consolidated) / 47.46 (ex-nuclear)
Regression estimate per share	26.71 (published EUROPE regression, chosen model: PBV, R2 = 0.423)
Regression vs price	26.71 vs 23.43 = +14.0%

Peer-multiple cross-checks (medians, per share): PE 35.44; PBV ROE-scaled 34.55; EV/EBIT 52.31; EV/CF NM (target FY2025 vendor CFO negative); EV/Assets 49.71; PS raw/EV-Sales-scaled 35.44/73.41. Published EUROPE regressions: PE (R2 0.201) 31.69; EV/EBITDA (R2 0.262) 88.37. Peer EV multiples read ENGIE cheap (actual EV/EBITDA 8.1x vs peer median 12.2x); the published PBV equation reads it ~12% cheap. Both methods point the same direction; none reconciled under relative_only.

Basis notes: vendor FY2025 EBITDA 13,012m sits below issuer consolidated EBITDA 14,700m / ex-nuclear 13,400m (definition scope; sensitivity retained). Vendor NI to common 3,687m vs issuer net income Group share 3,827m (further ~140m hybrid-coupon deduction - flagged). Proposed FY2025 dividend EUR1.35/share (~3,283m, issuer-stated 67% of NRIgs) -> payout 0.89 declared basis; paid-cash basis 1.23 makes scoring growth 0, so PEG and growth-scaled PE adjustment are not meaningful.

No intrinsic (DCF) estimate is produced under the relative_only deviation; stages 1, 2 and 4 are marked skipped_by_deviation in run_state.json.

2. Peer set (10 of 10 selected at the Europe step)

Name	Ticker	Country	Tier	EV/EBITDA / PBV
Enel	ENEL	Italy	1	EVEBITDA 8.4 / PBV 2.9
E.ON	EOAN	Germany	1	EVEBITDA 13.0 / PBV 2.6
EDP	EDP	Portugal	1	EVEBITDA 11.4 / PBV 1.8
Fortum	FORTUM	Finland	1	EVEBITDA 18.6 / PBV 2.4
Verbund	VER	Austria	1	EVEBITDA 10.1 / PBV 2.3
Orsted	ORSTED	Denmark	2	EVEBITDA 4.0 / PBV 0.2
National Grid	NG	United Kingdom	1	EVEBITDA 18.1 / PBV 2.0
SSE	SSE	United Kingdom	1	EVEBITDA 16.9 / PBV 3.2
Centrica	CNA	United Kingdom	1	EVEBITDA 1.4 / PBV 2.7
Snam	SRG	Italy	2	EVEBITDA 13.1 / PBV 2.2

Composition: 10 peers Tier 1-2 (8 integrated/regulated utilities, 2 grid/renewable operators), 10/10 Europe-listed - all requirements met at the first (strictest) selection step; no size-band or region relaxation. Pool of 34 candidates built from issuer-named competitors, sector_adjustments Tier-1 seeds and own research.

Exclusions documented: CEZ (uniform web source unavailable; MSCI EM listing anyway); A2A/REE/IG and small IPPs (below size-band floor EUR 5.70bn); AY/BLX/INE (no common 2026-10-30 price date); ORA (US-listed, World-only pool never reached). Endesa eligible for ENGIE (Enel subsidiary, not a target relationship - flagged for pending ownership audit). Iberdrola, RWE, NTGY, ELE, A2A scored above the selected set.

ENGI vs selected-peer medians: actual EV/EBITDA 8.1x vs 12.2x; PE 15.5x vs 23.4x; ROE 10.9% vs ~9.7%; net debt/EBITDA 3.1x vs ~3.3x; EBITDA margin 18.1% vs ~27.8% (vendor scope); beta 0.57 vs ~0.57.

3. Method notes and caveats

- Comparable companies: similarity scoring on 8 dimensions; pool-only 5/95% winsorization; Europe step feasible at default caps; per-share values in EUR on uniform vendor FY2025 fundamentals; EV basis = before associates (peers and target inverse both exclude the associates adjustment).
- Primary multiple: EV/EBITDA; min_valid = 6 per standing approval (pe n = 9, all others 10; ev_cf NM for target - vendor FY2025 CFO -1,476m vs issuer CFFO 13,600m; peg NM with zero scoring growth).
- Published regressions: Damodaran regressions_multi_2026-01, EUROPE equations, decimal unit policy for DFR/tax (user-approved). EV/EBITDA percent-point alternative gives predicted 11.92x vs 20.23x decimal (41% divergence); decimal policy applied, both recorded. Chosen model = highest published R2 (PBV).
- Regression inputs: beta 0.57 (5Y observed); g_eps 4.73% and g_rev 5.60% analyst consensus (sourced, consistent with issuer NRIgs 2026 guidance EUR4.6-5.2bn); ROE 0.1119 closing book; payout 0.89 declared-dividend basis (1.23 paid-cash, flagged); dfr 0.492; effective tax 0.2485; roic 0.0851.
- Caveats: (a) regression file ~10 months older than valuation date; (b) published file gives no n, SEy or p-values - residual-band/diagnostic fields n/a_published_route; (c) GLOBAL-equation sign warnings recorded at stage 0, EUROPE equations unaffected but noted; (d) market-wide equations, low R2 - deviation is not proof of mispricing; (e) market-wide EV/EBITDA prediction (20.2x) sits above the European utility peer median (12.2x) - recorded, not resolved.
- QA block C: PROVISIONAL - human Spot_check PENDING (recorded, not claimed); ISIN issuer-page verification PENDING; ownership/event audit outstanding. EV-to-equity inverse check passed (associates = 0 on both sides); three reproducibly random EV recomputes matched. No failures; warned items disclosed.
- Data route: stockanalysis.com uniform web route (profile/statistics/financials/history); all figures from the 2026-10-30 cache and fetched candidate tables; vendor figures cross-checked against the ENGIE FY2025 results press release (revenue ~exact; NIGs exact 3,827m; EBITDA scope differences and CFO/CFFO definitional gap documented).

4. Sources

- Market data: cache/market/2026-10-30/ (universe.csv = IEUR MSCI Europe IMI proxy; per-candidate EDPRpool_*/ENELpool_* fetches in candidates/; fetch_manifest.json).
- Macro/FX: cache/macro/2026-10-30.json (ECB FX snapshot; Bund 10y; mature ERP).
- Company fundamentals: ENGIE FY2025 results press release (revenue 71.9bn; EBITDA 14.7bn / ex-nuclear 13.4bn; EBIT 9,471m / ex-nuclear 8,757m; NIGs 3,827m; NRIgs 4.9bn; net financial debt 38.9bn; net economic debt 45.2bn; DPS EUR1.35, 67% NRIgs payout) via relative_inputs.md, cross-checked vs vendor extracts.
- Vendor route: stockanalysis.com epa/ENGI and per-candidate pages (cached 2026-10-30, accessed 2026-11-01).
- Published regressions: Damodaran regressions_multi_2026-01 (EUROPE), PE / PBV / EV/EBITDA equations, sha256 a894ea86...
- Working files: outputs/ENGI.PA_2026-10-30/relative/ (comparables.csv, multiples_summary.csv, comparables_audit.xlsx, regression_valuation.xlsx with live formulas, qa_results.md, source_log.csv).

Academic analysis produced by an automated valuation agent. Not investment advice. All figures cited from the files listed in section 4; nothing recomputed for this report.